

China Coal

Shanxi mine disaster to lead to further regulatory tightening

The gas explosion at the Liushenyu coal mine in Qinyuan county in Shanxi on 22 May has killed at least 82 people. China's mining safety regulator also issued an announcement on May 24 to crack down on the country's coal mine gas hazards. We see near-term supply shocks to the coking coal market, but the price impact on coking coal will likely be capped due to narrow steel margins. While initial safety suspensions in Qinyuan were mandatory, broader province-wide inspections have been voluntary so far. If regulators were to execute wider and stricter safety inspections, coal prices are likely to remain higher in 2H26, in our view. Coupled with summer restocking seasonality ahead, we see short-term opportunity in coal stocks with Yankuang (N) more exposed to coking coal (~20%) and spot thermal coal price over Shenhua (N).

What happened? A gas explosion at the Liushenyu Coal Mine in Shanxi, northern China, killed at least 82 people and injured more than 120, the country's worst mining disaster since 2009. As of May 23rd, all coal mines in Qinyuan County, Changzhi have been suspended per Changzhi Municipal Emergency Management Bureau's request. The Liushenyu mine is privately owned and operated by Shanxi Tongzhou Coal & Coke Group Co., Ltd., under Shanxi Tongzhou Coal & Coke Group; neither entity is publicly listed.

9%/3% of Shanxi/China's capacity effectively suspended. Qinyuan county has 25 mines (mainly lean coal and coking coal, with two thermal coal mines) with 25.6mt of capacity—about 2% of Shanxi's ~1.4bt. Given the severity of the incident, we see elevated risk of broader safety-driven suspension across Changzhi City, which has 107 mines and ~180mt capacity (about 13% of Shanxi). Safety inspections are also expanding beyond Changzhi; Mysteel's latest survey (as of May 25th) indicates 109 coking coal mines across Shanxi have suspended operations, covering ~122mt capacity (~9% of Shanxi and ~3% of China's total capacity effectively suspended). While Qinyuan's restart timeline remains uncertain, most other suspensions are expected to last 3-5 days. With Shanxi representing ~30% of China's capacity, prolonged enforcement could meaningfully tighten domestic coal supply.

Coal prices went up first, stock prices were slower. Referencing historical precedent, on February 22, 2023, the Inner Mongolia Xinjing collapse killed 53 people and about 0.9 mt capacity was taken offline. The incident triggered a State Council-supervised investigation and a full shutdown for rectification. QHD 5.5kcal coal price spiked 16% in the following week, although Chinese coal stocks (Shenhua, Yankuang) were muted after a 1-5% surge on the day following the incident. On September 24, 2023, a fire broke out in the Shanjiaoshu coal mine in Liupanshui, Guizhou, killing 16 people and about 3.1mt capacity was suspended for three months. All local coal mines in Liupanshui were suspended after the incident, affecting approximately 59 mt of coking coal capacity. QHD 5.5kcal coal price spiked 6-7% in the following month but the Chinese coal stocks were similarly not reactive in the short term. On November 16, 2023, a major fire

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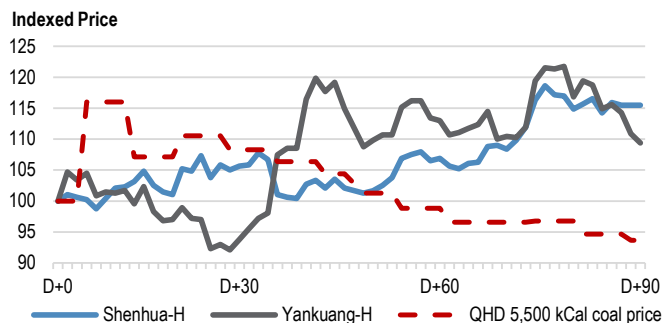
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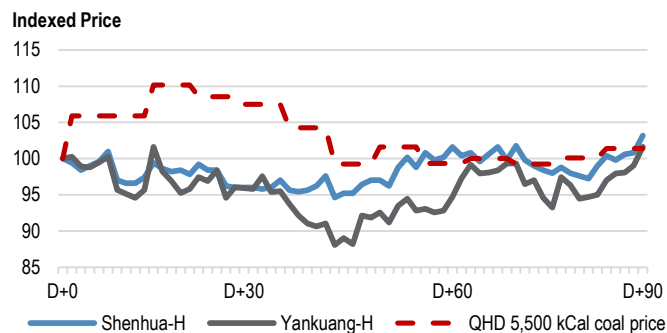
occurred in Lüliang, Shanxi, causing 26 deaths and 38 injuries. All coal mines in Lishi District and under Dongtai Group suspended operations, involving a capacity of 21.9mt in total. QHD coal price and stocks were fairly muted. We expect QHD 5.5kcal coal prices to reach RMB 900/ton in the next 2 months, with upward momentum anchored by broadening domestic safety curtailments constraining nationwide coal output, seasonal demand improvement driven by upcoming summer power demand and pre-peak restocking activity, as well as tightening seaborne coal supply stemming from Indonesia's export restrictions, but the sustainability of the high coal price will depend on the duration and scale of suspension/safety inspections.

Figure 1: Inner Mongolia Feb 2023: Indexed Stock Price



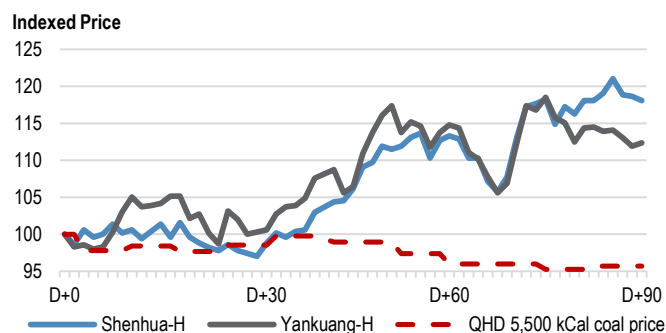
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 2: Guizhou Sep 2023: Indexed Stock Price



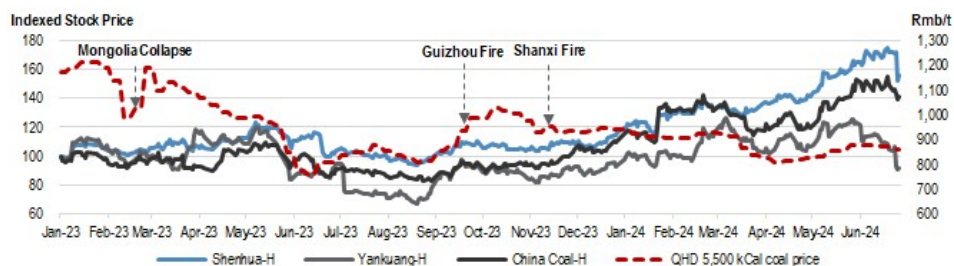
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 3: Shanxi Nov 2023: Indexed Stock Price



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 4: Precedent Analysis: Indexed Stock Price



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 5: Precedent Analysis: Post-Incident Stock Price Reaction

Incidents	D+1	D+7	D+30	D+90
Inner Mongolia - Feb 22				
QHD Coal Price	0%	16%	8%	-6%
Shenhua	1%	0%	7%	15%
Yankuang	5%	1%	-2%	9%
Guizhou - Sep 23				
QHD Coal Price	6%	6%	7%	1%
Shenhua	-1%	0%	-4%	3%
Yankuang	0%	-1%	-4%	2%
Shanxi - Nov 23				
QHD Coal Price	0%	-2%	0%	-4%
Shenhua	-1%	1%	0%	18%
Yankuang	-2%	0%	3%	12%

Source: Bloomberg Finance L.P., J.P. Morgan

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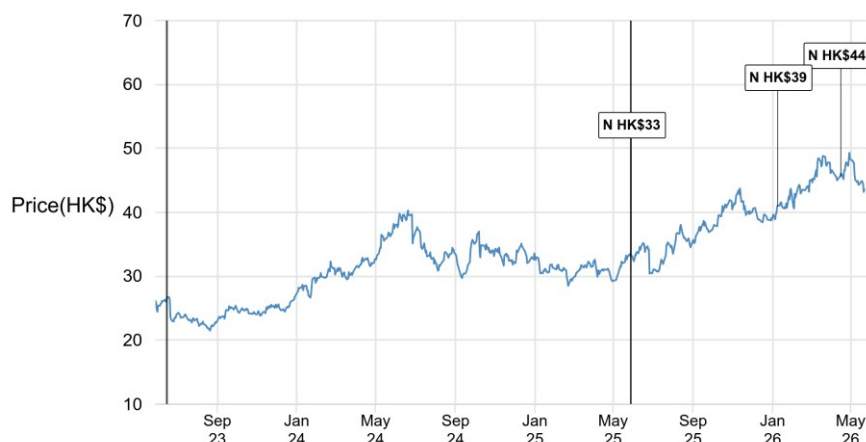
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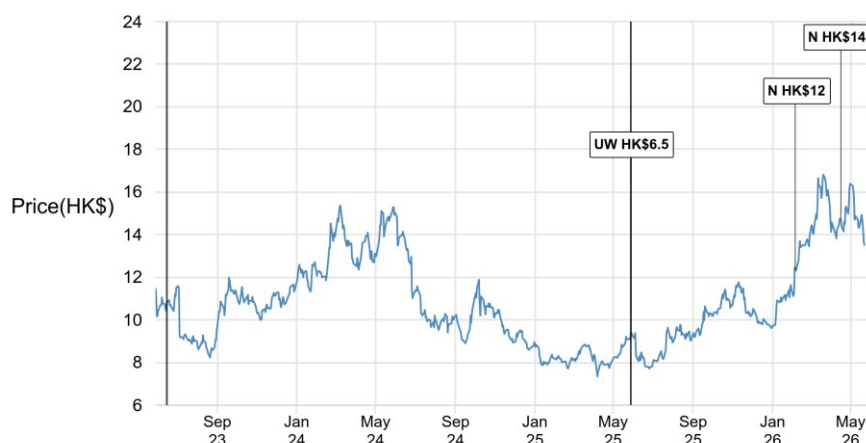
Shenhua - H (1088.HK, 1088 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
29-May-25	N	33.65	33
09-Jan-26	N	40.92	39
16-Apr-26	N	45.60	44

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 02, 2005. All share prices are as of market close on the previous business day.
Break in coverage Jun 15, 2023 - May 28, 2025.

Yankuang - H (1171.HK, 1171 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
29-May-25	UW	9.29	6.5
06-Feb-26	N	12.34	12
16-Apr-26	N	14.70	14

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 26, 2001. All share prices are as of market close on the previous business day.
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Completed 26 May 2026 04:06 AM HKT

Disseminated 26 May 2026 04:06 AM HKT